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Esso Petroleum Company, Limited
ANNUAL REPORT
for the year ended 31 December 2008

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Esso Petroleum Company, Limited
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for the year ended 31 December 2008

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Esso Petroleum Company, Limited
COMPANY INFORMATION
for the year ended 31 December 2008

DIRECTORS

B W Corson - appointed 14 May 2009
K J Dickens
R S Franklin - resigned 14 May 2009
K L Hobbs
R C Olsen - resigned 3 April 2008
J Selzer

SECRETARY

J N Boydell - resigned 25 July 2008
A Clarke - appointed 25 July 2008

REGISTERED OFFICE

ExxonMobil House
Ermyrn Way
Leatherhead
Surrey KT22 8UX

INDEPENDENT AUDITORS

PricewaterhouseCoopers LLP
Chartered Accountants and Registered Auditors
1 Embankment Place
London WC2N 6RH

Esso Petroleum Company, Limited
REPORT OF THE DIRECTORS
for the year ended 31 December 2008

The directors present their Annual Report and the audited financial statements for the year ended 31 December 2008.

PRINCIPAL ACTIVITIES

The principal activities of the Company are the refining, distribution and marketing of petroleum products in the United Kingdom. The principal subsidiaries of the Company at 31 December 2008 are listed in note 11 to the accounts.

BUSINESS REVIEW

Review of Company Business

During 2008 sales increased benefiting from higher prices, although gross profit margins were lower. This was due to higher material purchases and operating costs. Operating profit margins were also lower.

The Company has net assets of £1,293.0m (2007: £1,403.2m).

Principal risks and uncertainties

The Company's principal risks and uncertainties comprise health and safety, environment and financial risks. Financial risk management is detailed below and the Company's policies relating to Health and Safety and Environment are set out in the paragraphs on pages 4 and 5.

Key performance indicators

The business of Esso Petroleum Company, Limited is managed on a divisional basis and performance is measured in areas such as safety, the environment, operations and finance. Performance indicators are regularly shared with divisional management including representatives of the ultimate parent company Exxon Mobil Corporation.

FUTURE DEVELOPMENTS

The Company intends to remain a major refiner and marketer of petroleum products in the United Kingdom.

FINANCIAL RISK MANAGEMENT

The Company is exposed to financial risks from a variety of factors that include price, credit, liquidity, interest rates and foreign exchange.

Price risk - The Company is exposed to fluctuations in the oil, petrochemical and gas prices as a result of its operations. The Company does not use derivative financial instruments to manage the risk of fluctuating prices, so no hedge accounting is applied. The Company will revisit the appropriateness of this policy should operations change in nature.

Credit risk - The Company has implemented policies and procedures which require appropriate credit checks on potential customers before sales are made. The Company also has systems and processes to ensure the ongoing monitoring of customer credit worthiness and has in place procedures to enable it to respond where change in customer credit risk is detected.

Liquidity risk - The Company actively manages its finances to ensure that it has sufficient available funds for its operations. It is the directors' understanding that the ExxonMobil group companies will continue to provide suitable resources to the Company to meet its needs. The Company has a process in place to monitor the best financing structure and periodically reviews its strategies. Following such review, loans may be repaid prior to their maturity date or extended or replaced by alternative funding arrangements.

Interest rate risk - The Company can have both interest bearing assets and liabilities; these are generally held at floating rates. The Company monitors its portfolio of interest bearing assets and liabilities and their financial impact. The Company will reconsider the appropriate structure of its portfolio should operations change in size or nature.

Foreign exchange risk - The Company may have assets and liabilities denominated in foreign currencies, predominantly the US Dollar and the Euro. No derivative financial instruments are used to manage the risk of fluctuating exchange rates, so no hedge accounting is applied. The Company has in place a foreign exchange policy and will reconsider the appropriateness of this policy should operations change in nature.

Esso Petroleum Company, Limited
REPORT OF THE DIRECTORS
for the year ended 31 December 2008

RESULTS AND DIVIDENDS

The Company's profit for the year was £92.6m (2007: £307.7m).

No dividends were paid during the year (2007: £nil).

DIRECTORS

The directors who held office during the year and to the date of this report are listed on page 2.

DONATIONS

During 2008 the Company made total donations and other support to the community of £0.5m (2007: £0.7m). Of this, charitable donations amounted to £0.1m (2007: £0.2m). There were no political donations (2007: £nil).

RESEARCH AND DEVELOPMENT

The Company is able to call on the extensive research and development resources of its ultimate holding company, Exxon Mobil Corporation. This includes research into automotive and aviation fuels and engine lubricants and a comprehensive technical support, covering crude oils, industrial fuels and lubricants, bitumens and greases. Research and guidance on environmental matters is also provided by other members of the ExxonMobil group.

EMPLOYEES

The Company is an equal opportunity employer and complies with all relevant legislation. It pays particular attention to measures which will encourage the employment and career development of both women and ethnic minorities.

The Company's policy is also to ensure that equal opportunities, including training, career development and promotion, exist for disabled persons and employees who have become disabled while employed by the Company having regard to their particular circumstances.

The Company has established over many years a comprehensive programme of employee communication and consultation. The directors are committed to the continued involvement of employees in this way as an essential element in the Company remaining efficient and competitive. It is an integral part of management's responsibility to ensure that all employees understand the Company's objectives and the contribution that each individual can make to the achievement of those objectives.

HEALTH AND SAFETY

The Company's policy is to conduct its business in a manner that protects the safety of its employees, others involved in its operations, customers and the public. The Company strives to prevent all accidents, injuries and occupational illnesses through the active participation of every employee. The Company is committed to continuous efforts to identify and eliminate or manage health and safety risks associated with its activities.

ENVIRONMENTAL POLICY

The Company has a policy to ensure that it conducts its business in a manner that is compatible with the balanced environmental and economic needs of the community. Further, it is the Company's policy to comply with all applicable environmental laws and regulations and apply responsible standards where laws and regulations do not exist.

Esso Petroleum Company, Limited
REPORT OF THE DIRECTORS
for the year ended 31 December 2008

The Company's key principles and commitments in the areas of safety, health and the environment, among others, are consistent with those of its ultimate holding company, Exxon Mobil Corporation. Each year, Exxon Mobil Corporation publishes a detailed and comprehensive Corporate Citizen Report that gives a full account of its positions, actions and performance.

Copies of this publication can be obtained by writing to: Exxon Mobil Corporation, Attn Public Affairs, CCR Requests, Rm 2421, 5959 Las Colinas Boulevard, Irving, Texas 75039, USA. Alternatively, it can be viewed on www.exxonmobil.com on the Publications page of the news room.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). The financial statements are required by law to give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing those financial statements, the directors are required to :

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business, in which case there should be supporting assumptions or qualifications as necessary.

The directors confirm that they have complied with the above requirements in preparing the financial statements.

The directors are responsible for keeping proper accounting records that disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

AUDITORS AND DISCLOSURE OF INFORMATION TO AUDITORS

Each of the persons who are directors of the Company at the time when the report is approved, confirm as follows:

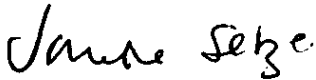
- a) so far as the director is aware, there is no relevant audit information (that is, information needed by the Company's auditors in connection with preparing their report) of which the Company's auditors are unaware; and
- b) the director has taken all the steps that he/she ought to have taken as a director in order to make himself/herself aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

Esso Petroleum Company, Limited
REPORT OF THE DIRECTORS
for the year ended 31 December 2008

INDEPENDENT AUDITORS

The auditors, PricewaterhouseCoopers LLP, have indicated their willingness to continue in office. The Company has exercised its entitlement under s386 of the Companies Act 1985 to dispense with appointing auditors annually and under s366A to dispense with holding Annual General Meetings.

On behalf of the Board,



J Selzer
Director

20 July 2009

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ESSO PETROLEUM COMPANY, LIMITED

We have audited the financial statements of Esso Petroleum Company, Limited for the year ended 31 December 2008 which comprise the profit and loss account, the statement of total recognised gains and losses, the note of historical cost profits and losses, the balance sheet and the related notes. These financial statements have been prepared under the accounting policies set out therein.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

The directors' responsibilities for preparing the Annual Report and financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities.

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland). This report, including the opinion, has been prepared for and only for the Company's members as a body in accordance with Section 235 of the Companies Act 1985 and for no other purpose. We do not, in giving this opinion, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or in to whose hands it may come save where expressly agreed by our prior consent in writing.

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985. We also report to you whether in our opinion the information given in the Report of the Directors is consistent with the financial statements.

In addition we report to you if, in our opinion, the Company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed.

We read other information in the Annual Report, and consider whether it is consistent with the audited financial statements. This other information comprises only the Report of the Directors and Company information and all of the other information listed on the contents page. We consider the implications for our report if we become aware of any apparent misstatements or material inconsistencies with the financial statements. Our responsibilities do not extend to any other information.

BASIS OF AUDIT OPINION

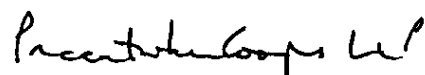
We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the Company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

OPINION

In our opinion:

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the Company's affairs as at 31 December 2008 and of its profit for the year then ended;
- the financial statements have been properly prepared in accordance with the Companies Act 1985; and
- the information given in the Report of the Directors is consistent with the financial statements.



PricewaterhouseCoopers LLP

Chartered Accountants and Registered Auditors

London

Esso Petroleum Company, Limited
PROFIT AND LOSS ACCOUNT
for the year ended 31 December 2008

	Note	2008 £m	2007 £m
Continuing operations:			
Turnover	2	9,437.2	7,010.6
Cost of sales		<u>(9,071.2)</u>	<u>(6,370.8)</u>
GROSS PROFIT		366.0	639.8
Distribution costs		(245.2)	(241.5)
Administrative expenses		<u>(22.8)</u>	<u>(14.5)</u>
OPERATING PROFIT	3	98.0	383.8
Income from shares in group undertakings		2.0	3.1
Income from fixed asset investments		1.3	2.0
Profit / (loss) on disposal of fixed assets		<u>(1.7)</u>	<u>1.5</u>
PROFIT ON ORDINARY ACTIVITIES BEFORE INTEREST AND TAXATION		99.6	390.4
Interest receivable and similar income	6	14.3	30.7
Interest payable and similar charges	7	(35.3)	(28.1)
Other finance income and charges	20	<u>48.5</u>	<u>19.5</u>
PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION		127.1	412.5
Taxation on profit on ordinary activities	8	<u>(34.5)</u>	<u>(104.8)</u>
PROFIT FOR THE FINANCIAL YEAR	18	<u>92.6</u>	<u>307.7</u>

The notes on pages 12 to 32 form an integral part of these financial statements.

Esso Petroleum Company, Limited
STATEMENT OF TOTAL RECOGNISED GAINS AND LOSSES
for the year ended 31 December 2008

	Note	2008 £m	2007 £m
PROFIT FOR THE FINANCIAL YEAR		92.6	307.7
Actuarial gain / (loss) on pension plan	20	(283.3)	105.0
Movement on deferred taxation related to pension asset / liability	16, 18	80.5	(31.5)
Unrealised surplus on revaluation of retail sites	10, 18	<u>0.0</u>	<u>124.5</u>
TOTAL RECOGNISED GAINS AND LOSSES RELATING TO THE YEAR		<u>(110.2)</u>	<u>505.7</u>

The notes on pages 12 to 32 form an integral part of these financial statements.

Esso Petroleum Company, Limited
NOTE OF HISTORICAL COST PROFITS AND LOSSES
for the year ended 31 December 2008

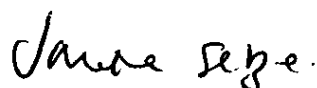
		2008 £m	2007 £m
REPORTED PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION		127.1	412.5
Realisation of property revaluation gains of previous years	10, 18	<u>11.5</u>	<u>16.7</u>
HISTORICAL COST PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION		<u>138.6</u>	<u>429.2</u>
HISTORICAL COST PROFIT FOR THE YEAR RETAINED AFTER TAXATION		<u>104.1</u>	<u>324.4</u>

Esso Petroleum Company, Limited
BALANCE SHEET
as at 31 December 2008

	Note	2008 £m	2007 £m
FIXED ASSETS			
Intangible assets	9	3.0	3.4
Tangible assets	10	1,475.2	1,476.9
Investments	11	<u>9.7</u>	<u>9.7</u>
TOTAL FIXED ASSETS		<u>1,487.9</u>	<u>1,490.0</u>
CURRENT ASSETS			
Stocks	12	379.3	557.8
Debtors: Amounts falling due within one year	13	1,032.8	793.9
Debtors: Amounts falling due after more than one year	13	11.7	16.7
Cash at bank and in hand		<u>5.0</u>	<u>4.5</u>
TOTAL CURRENT ASSETS		<u>1,428.8</u>	<u>1,372.9</u>
Creditors: Amounts falling due within one year	14	<u>(1,085.9)</u>	<u>(1,122.9)</u>
NET CURRENT ASSETS		<u>342.9</u>	<u>250.0</u>
TOTAL ASSETS LESS CURRENT LIABILITIES		<u>1,830.8</u>	<u>1,740.0</u>
Creditors: Amounts falling due after more than one year	14	(320.0)	(320.0)
Provisions for liabilities and charges	16	<u>(59.8)</u>	<u>(79.6)</u>
NET ASSETS EXCLUDING PENSION ASSET / (LIABILITY)		<u>1,451.0</u>	<u>1,340.4</u>
Pension asset / (liability)	20	<u>(158.0)</u>	<u>62.8</u>
NET ASSETS INCLUDING PENSION ASSET / (LIABILITY)		<u><u>1,293.0</u></u>	<u><u>1,403.2</u></u>
CAPITAL AND RESERVES			
Called up share capital	17	573.4	573.4
Revaluation reserve	18	451.5	463.0
Capital reserve	18	3.3	3.3
Profit and loss reserve	18	<u>264.8</u>	<u>363.5</u>
TOTAL SHAREHOLDER'S FUNDS	19	<u><u>1,293.0</u></u>	<u><u>1,403.2</u></u>

The notes on pages 12 to 32 form an integral part of these financial statements.

The financial statements on pages 8 to 32 were approved by the board of directors on 20 July 2009 and were signed on its behalf by:



J Selzer
Director

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

1 ACCOUNTING POLICIES

These financial statements are prepared on the going concern basis under the historical cost convention, as modified by the revaluation of certain tangible fixed assets, in accordance with the Companies Act 1985 and applicable United Kingdom Accounting Standards.

With the exception of changes to accounting standards, detailed under the heading "Changes to accounting policies", the principal accounting policies have been applied consistently and are set out below.

CHANGES IN ACCOUNTING POLICIES

The Company has adopted the amendment to FRS 17, 'Retirement benefits'. As a result of this, quoted securities held as scheme assets in the defined benefit pension scheme are now valued at bid price rather than mid-market value.

CONSOLIDATED ACCOUNTS

The Company is a wholly-owned subsidiary of ExxonMobil UK Limited and is included in the consolidated financial statements of Esso UK Limited which is incorporated in England and Wales. The Company has taken advantage of the exemption from preparing group accounts under FRS 2, 'Accounting for subsidiary undertakings'.

CASH FLOW STATEMENT

The Company is a wholly-owned subsidiary of ExxonMobil UK Limited and is included in the consolidated financial statements of Exxon Mobil Corporation which are publicly available. Consequently, the Company has taken advantage of the exemption from preparing a cash flow statement under the terms of Financial Reporting Standard 1 (revised 1996), 'Cash flow statements'.

FOREIGN CURRENCIES

Monetary assets and liabilities denominated in foreign currencies are translated at rates prevailing at the year end. Foreign currency transactions are translated at the rate ruling at the date of the transaction. Foreign currency translation differences are included in the appropriate profit and loss account categories.

TURNOVER

Revenue associated with the processing and sale of crude oil, natural gas, petroleum products and related goods and services is recognised when the title passes to the customer, which typically occurs at the point of delivery or point of receipt depending on contractual terms. Revenue from sales made by refining operations is typically recognised when the product is placed onboard a vessel, on discharge or into a pipeline depending on agreed contractual terms. Turnover is shown net of excise duty and VAT.

RESEARCH AND DEVELOPMENT EXPENDITURE

Research and development expenditure is charged to the profit and loss account as incurred.

INTEREST

All interest is charged to the profit and loss account.

OPERATING LEASES

Operating lease payments are charged to the profit and loss account on a straight line basis over the lease term in the period to which they relate.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

1 ACCOUNTING POLICIES (continued)

INTANGIBLE ASSETS

Goodwill arising on acquisitions of businesses and recorded in the balance sheet is amortised through the profit and loss account. The Company amortises such purchased goodwill by equal annual instalments over the purchased goodwill's expected useful life, which is typically between 10 and 20 years, being the directors' best estimate of the period over which the goodwill will be realised.

Purchased CO2 emission rights are not amortised during the year as they are surrendered the following year after completion of an independent audit of the actual emissions.

TANGIBLE ASSETS

Tangible assets are stated at cost less accumulated depreciation except in the case of certain land which is valued as detailed below.

Premiums paid on operating leases for land and buildings have been capitalised and included within land and buildings.

All assets are depreciated or amortised by equal annual instalments as follows:

Buildings	3.3% to 4% per annum
Plant and Equipment	3.3% to 20% per annum
Leasehold land	0.5% to 6.66% per annum
Assets under construction	Not depreciated until brought into use
Freehold land	Not depreciated

REVALUATION OF FIXED ASSETS

Fixed assets are stated at cost except in the case of retail site land which is revalued on a 5 yearly basis by a member of the Royal Institute of Chartered Surveyors, with a review of the valuation made on an interim basis in accordance with FRS 15, 'Tangible fixed assets'. An annual review is undertaken where there is evidence of a significant change in the revaluation. The last full review was undertaken in 2004. An interim valuation was undertaken as at 31 December 2007 by CB Richard Ellis.

INVESTMENTS

Investments are stated at cost less any diminution in value as a result of impairment reviews.

STOCKS

Stocks are stated at the lower of cost and net realisable value. Cost is calculated using the first-in, first-out method, including an appropriate proportion of overheads.

CASH

As part of ExxonMobil's Treasury operations, the Company participates in an interest bearing bank account sweeping arrangement with another ExxonMobil group undertaking whereby the transactions cleared by the banks included in this arrangement are transferred to that undertaking on a daily basis. The net amount as at the balance sheet date is fully liquid with the Company retaining full ability to access the cash at any time. Interest is charged/credited on balances, including any overdraft positions, on commercially competitive terms.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

1 ACCOUNTING POLICIES (continued)

IMPAIRMENTS AND PROVISIONS

Intangible assets, tangible assets, investments and goodwill are regularly reviewed for evidence of possible impairment. Major assets, including goodwill, are reviewed on a yearly basis while other assets are reviewed where events or changes in circumstance indicate that an impairment review is necessary. Where a review indicates that the asset, or income generating unit where applicable, requires impairment then the carrying value will be written down immediately to its fair value.

Where necessary provision is made for obsolete, slow moving and defective stocks.

DEFERRED TAXATION

Provision for deferred tax is made in accordance with Financial Reporting Standard 19, 'Deferred Tax'. Full provision is made for deferred tax liabilities net of deferred tax assets arising from timing differences between the recognition of gains and losses in the financial statements and their recognition for tax purposes.

Deferred tax liabilities and assets are discounted.

PENSION COSTS

The Company is a participating employer in a funded defined benefit pension scheme in the UK, the assets of which are held in a separate trustee administered fund.

Pension scheme assets are measured using market value. Pension scheme liabilities are measured using the projected unit actuarial method and are discounted at the current rate of return on a high quality corporate bond of equivalent terms and currency to the liability. The increase in the present value of the liabilities of the Company's defined benefit pension scheme expected to arise from employee service in the period is charged to operating profit. The expected return on the scheme's assets and the increase during the year in the present value of the scheme's liabilities arising from the passage of time are included in other finance income. Actuarial gains and losses are recognised in the statement of total recognised gains and losses.

Pension scheme surpluses (to the extent that they are considered recoverable), or deficits in full, are recognised and presented on the face of the balance sheet net of the related deferred tax.

The Company is a participating employer in the Merchant Navy Officers Pension Fund and the Merchant Navy Ratings Pension Fund, both industry defined benefit schemes. The Company is unable to identify its share of the underlying assets and liabilities of these schemes on a consistent and reliable basis and in accordance with paragraph 9 of FRS 17 is therefore treating the schemes as defined contribution schemes. The pension cost charges represent contributions payable by the Company to the funds.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

2 SEGMENTAL ANALYSIS

The Company's activities consist of the processing and sale of crude oil, natural gas, petroleum products and related goods and services. Turnover is recognised on transfer of legal title.

	2008	2007
	£m	£m
TURNOVER BY DESTINATION		
United Kingdom	6,615.8	5,025.7
Europe	1,091.1	911.0
Rest of the World	1,730.3	1,073.9
TOTAL	9,437.2	7,010.6

3 OPERATING PROFIT

	2008	2007
	£m	£m
This is stated after charging the following amounts:		
Wages and salaries	102.9	100.5
Social security costs	10.5	10.2
Other pension costs	42.4	48.1
Other staff costs	8.5	7.7
TOTAL STAFF COSTS	164.3	166.5

Other staff costs comprise the cost of employees working on behalf of the Company who were seconded from other ExxonMobil affiliates.

	£k	£k
During the year the Company obtained the following services from the Company's auditor and its associates:		
Fees for audit of the Company accounts	103	64
Fees for other services	43	38
The audit of the Company's subsidiaries, pursuant to legislation	23	15
Tax services	17	0
Other services pursuant to legislation	65	76
	£k	£k
Operating leases	14,111	13,900
Depreciation - owned assets	73,500	79,600
Amortisation of goodwill	400	400
Research and development	2,966	2,900

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

4 EMPLOYEES

	2008	2007
The average number of persons (including directors) employed during the year was:		
Marketing, Refining and Transportation	1,786	1,824
Exploration and Production	684	682
TOTAL	2,470	2,506

	2008	2007
The above numbers include employees (including directors) seconded to other ExxonMobil affiliates as follows:		
Marketing, Refining and Transportation	403	261
Exploration and Production	684	682
TOTAL	1,087	943

5 DIRECTORS' EMOLUMENTS

	2008 £k	2007 £k
DIRECTORS' EMOLUMENTS - AGGREGATE		
Pre-tax emoluments, excluding pension contributions	850	586
Company pension contributions to money purchase schemes	14	8
Amounts (excluding shares) receivable under long term incentive schemes (EBU)	37	33
TOTAL	901	627

2 directors (2007: 3), not including the highest paid director, exercised share options in the year and 1 director (2007: 4), not including the highest paid director, became entitled to receive shares under long term incentive schemes.

Retirement benefits are accruing to 5 directors (2007: 6), including the highest paid director under a defined benefit scheme, and 2 directors (2007: 3), including the highest paid director, under a money purchase scheme.

DIRECTORS' EMOLUMENTS - HIGHEST PAID DIRECTOR	£k	£k
Pre-tax emoluments, excluding pension contributions	643	355
Company pension contributions to money purchase schemes	13	6
Defined benefit pension scheme: accrued pension at year end	55	33
Amounts (excluding shares) receivable under long term incentive schemes (EBU)	30	0

The above figures are based on a percentage split, according to time spent by each director in the Company which is determined by each director.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

6 INTEREST RECEIVABLE AND SIMILAR INCOME

	2008	2007
	£m	£m
Amounts receivable from other ExxonMobil group undertakings	12.1	29.0
Other interest receivable	2.2	1.7
TOTAL	14.3	30.7

7 INTEREST PAYABLE AND SIMILAR CHARGES

	2008	2007
	£m	£m
Amounts payable to other ExxonMobil group undertakings	35.2	27.6
Other interest payable	0.1	0.5
TOTAL	35.3	28.1

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

8 TAXATION ON PROFIT ON ORDINARY ACTIVITIES

	2008 £m	2007 £m
CURRENT TAX		
UK Corporation tax on profit for the period	(13.3)	0.2
Amount payable to fellow subsidiary in respect of group relief	0.0	70.1
Adjustments in respect of previous periods	(1.8)	(27.1)
TOTAL CURRENT TAX CHARGE / (CREDIT) FOR THE PERIOD	<u>(15.1)</u>	<u>43.2</u>
DEFERRED TAX		
Origination and reversal of timing differences	(16.4)	(5.4)
Change in tax rate - impact on non pension deferred tax liability	0.0	(5.3)
Pension contribution relief in excess of pension cost charge	66.0	65.1
Change in tax rate - impact on pension deferred tax asset	0.0	7.2
TOTAL DEFERRED TAX CHARGE FOR THE PERIOD (note 16)	<u>49.6</u>	<u>61.6</u>
TAXATION ON PROFIT ON ORDINARY ACTIVITIES	<u><u>34.5</u></u>	<u><u>104.8</u></u>

Corporation Tax has been calculated at 28.5% on the taxable profit for the year (2007: 30%). This is a composite rate, following the reduction of the corporation tax rate from 30% to 28% on 1 April 2008. The tax assessed for the period is lower (2007: lower) than the standard rate of corporation tax in the UK (28%). The differences are explained below.

	2008 £m	2007 £m
FACTORS AFFECTING TAX CHARGE FOR THE PERIOD		
Profit on ordinary activities before taxation	<u>127.1</u>	<u>412.5</u>
Profit on ordinary activities multiplied by composite rate of corporation tax in the UK of 28.5% (2007: 30%)	36.2	123.8
Effects of:		
Expenses not deductible for tax purposes and other permanent differences	11.3	2.6
Accelerated capital allowances and other timing differences	5.2	9.0
Pension contribution relief in excess of net pension cost charge	(66.0)	(65.1)
Adjustments to tax charge in respect of previous periods	(1.8)	(27.1)
TOTAL CURRENT TAX CHARGE / (CREDIT) FOR THE PERIOD	<u><u>(15.1)</u></u>	<u><u>43.2</u></u>

Based on current capital investment plans the Company expects to continue to receive capital allowances in excess of depreciation in future years. No provision has been made for deferred taxation on gains arising from revaluing retail properties to their market value. Deferred taxation liabilities and assets are discounted.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

9 INTANGIBLE ASSETS

COST	Goodwill
BALANCE AT 1 JANUARY AND 31 DECEMBER 2008	£m
	<u>7.3</u>
AMORTISATION	
Balance at 1 January 2008	3.9
Charge for year	0.4
BALANCE AT 31 DECEMBER 2008	<u>4.3</u>
NET BOOK VALUE AT 31 DECEMBER 2008	<u>3.0</u>
NET BOOK VALUE AT 31 DECEMBER 2007	<u>3.4</u>

10 TANGIBLE ASSETS

	Retail Sites	Other Land & Buildings	Plant & Equipment	Assets Under Construction	Total
COST OR VALUATION	£m	£m	£m	£m	£m
Balance at 1 January 2008	830.5	114.9	1,555.3	100.0	2,600.7
Additions	0.0	0.1	0.3	91.9	92.3
Disposals	(27.5)	(0.6)	(27.1)	(1.3)	(56.5)
Transfers	12.3	0.0	112.2	(124.5)	0.0
BALANCE AT 31 DECEMBER 2008	<u>815.3</u>	<u>114.4</u>	<u>1,640.7</u>	<u>66.1</u>	<u>2,636.5</u>
ACCUMULATED DEPRECIATION					
Balance at 1 January 2008	108.5	44.6	970.7	0.0	1,123.8
Charge for year	10.1	2.5	60.9	0.0	73.5
Disposals	(11.3)	(0.9)	(23.8)	0.0	(36.0)
BALANCE AT 31 DECEMBER 2008	<u>107.3</u>	<u>46.2</u>	<u>1,007.8</u>	<u>0.0</u>	<u>1,161.3</u>
NET BOOK VALUE AT 31 DECEMBER 2008	<u>708.0</u>	<u>68.2</u>	<u>632.9</u>	<u>66.1</u>	<u>1,475.2</u>
31 DECEMBER 2007	<u>722.0</u>	<u>70.3</u>	<u>584.6</u>	<u>100.0</u>	<u>1,476.9</u>

Included within Retail Sites are sites with a net book value of £12.4m (2007: £20.5m) which are being held for resale.

As at 31 December 2004 certain assets with an historical cost of £314.9m were revalued by CB Richard Ellis Limited, an external surveyor and a member of the Royal Institute of Chartered Surveyors, on a total open market value basis for existing petrochemical use of £716.6m, resulting in an increase in the revalued amount of £215.7m. These assets comprise the Retail portfolio of petrol filling stations held on a freehold or long term leasehold basis (at least 50 years unexpired term on the lease) and have been valued as fully equipped operational trading entities. As at 31 December 2007 certain assets with an historical cost of £328.9m were revalued by CB Richard Ellis Limited as part of an interim revaluation exercise in accordance with FRS 15 resulting in an increase in the revalued amount of £124.5m.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

10 TANGIBLE ASSETS (continued)

During the year 11 sites (2007: 41 sites) which had previously been revalued were sold resulting in £11.5m (2007: £16.7m) being transferred from the revaluation reserve.

No deferred tax asset is provided on timing differences arising from the revaluation of fixed assets unless, by the balance sheet date, a binding commitment to sell the assets has been entered into and it is unlikely that any gain will be rolled over.

There are no assets being held under finance leases which have been capitalised as fixed assets (2007: £nil).

The net book value of Retail Sites and Other Land & Buildings comprises:	2008	2007
	£m	£m
Freehold	752.7	740.5
Long leasehold	8.2	33.4
Short leasehold	15.3	18.4
TOTAL	776.2	792.3

If Retail Sites and Other Land and Buildings had not been revalued they would have been included at the following amounts:	2008	2007
	£m	£m
Cost	478.0	482.0
Accumulated depreciation	(153.5)	(153.1)
Net Book Value	324.5	328.9

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

11 INVESTMENTS

	2008 £m	2007 £m
Shares in subsidiary undertakings and investments		
Balance at 1 January	9.7	9.7
BALANCE AT 31 DECEMBER	9.7	9.7

Details of the principal companies in which the Company holds 20% or more of any class of equity share capital or 20% or more of the total allotted share capital as at 31 December 2008 are given below:

NAME OF COMPANY	Class of Shares	Proportion of Shares	Voting Rights
SUBSIDIARY UNDERTAKINGS			
Comma Oil & Chemicals Limited	Ordinary	100%	100%
ExxonMobil Pension Trust Limited	Ordinary	100%	100%
Mainline Pipelines Limited	Ordinary	65%	65%
Redline Oil Services Limited	Ordinary	100%	100%
Retail Petroleum Services Limited	Ordinary	100%	100%
ROC UK Limited	Ordinary	100%	100%
Volunteer Involvement Trust	Ordinary	100%	100%
OTHER INVESTMENTS			
Gatwick Airport Storage and Hydrant Company Limited	Ordinary	25%	25%
Heathrow Hydrant Company Limited	Ordinary	20%	20%
Heathrow Hydrant Operating Company Limited	Ordinary	20%	20%
Manchester Airport Storage and Hydrant Company Limited	Ordinary	25%	25%
Stansted Fuelling Company Limited	Ordinary	29%	29%

All the companies operate in the United Kingdom, are registered in England and Wales and, with the exception of Volunteer Involvement Trust, have principal activities related to the oil and gas business. Volunteer Involvement Trust is a registered charity providing financial assistance to charitable activities in the UK.

12 STOCKS

	2008 £m	2007 £m
Raw materials and consumables	110.9	170.1
Work in progress	37.7	56.5
Finished goods and goods for resale	230.7	331.2
TOTAL	379.3	557.8

The replacement cost of all categories of stocks held by the Company at 31 December 2008 was £397.5m (2007: £585.2m).

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

13 DEBTORS

	2008	2007
	£m	£m
AMOUNTS FALLING DUE WITHIN ONE YEAR		
Trade debtors	336.4	406.5
Amounts owed by other ExxonMobil group undertakings	580.1	273.2
Amounts owed by subsidiary undertakings	40.7	29.3
Other debtors	54.5	56.8
Prepayments and accrued income	21.1	28.1
TOTAL	<u>1,032.8</u>	<u>793.9</u>
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR		
Other debtors	0.5	0.3
Prepayments and accrued income	11.2	16.4
TOTAL	<u>11.7</u>	<u>16.7</u>

The Company participates in an interest bearing bank account sweeping arrangement with another ExxonMobil group undertaking whereby the transactions cleared by the banks included in this arrangement are transferred to that undertaking on a daily basis. The net amount of £50.6m as at 31 December 2008 is included in 'Amounts owed by other ExxonMobil group undertakings' (2007: 'Amounts owed to ExxonMobil group undertakings - other' - £126m).

'Amounts owed by other ExxonMobil group undertakings' and falling due within one year include loans at the following interest rates:

	2008	2007
	£m	£m
Interest at a rate of 3 month LIBOR - 0.3% (2007: 3 month LIBOR + 0.1%)	260.0	120.0

All other balances are unsecured, interest free and have no fixed repayment date.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

14 CREDITORS

	2008	2007
	£m	£m
AMOUNTS FALLING DUE WITHIN ONE YEAR		
Bank loans and overdrafts	4.3	3.6
Trade creditors	26.4	48.5
Amounts owed to other ExxonMobil group undertakings - loans (note 15)	305.0	165.0
Amounts owed to other ExxonMobil group undertakings	256.4	299.4
Amounts owed to subsidiary undertakings	6.1	5.0
Taxation and social security	319.4	393.2
Other creditors	13.3	13.2
Accruals and deferred income	155.0	195.0
TOTAL	<u>1,085.9</u>	<u>1,122.9</u>
 AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR		
Amounts owed to other ExxonMobil group undertakings - loans (note 15)	300.0	300.0
Accruals and deferred income	20.0	20.0
TOTAL	<u>320.0</u>	<u>320.0</u>

The Company participates in an interest bearing bank account sweeping arrangement with another ExxonMobil group undertaking whereby the transactions cleared by the banks included in this arrangement are transferred to that undertaking on a daily basis. The net amount of £50.6m as at 31 December 2008 is included in 'Amounts owed by other ExxonMobil group undertakings' (2007: 'Amounts owed to ExxonMobil group undertakings - other' - £126m).

Aside from loans detailed in note 15 all other amounts are unsecured, interest free and have no fixed repayment date.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

15 LOANS

	2008	2007
	£m	£m
Amounts owed to other ExxonMobil group undertakings		
Repayable within 1 year	305.0	165.0
Repayable after 1 year	300.0	300.0
TOTAL	<u>605.0</u>	<u>465.0</u>

Amounts repayable within one year include loans at the following interest rates:

	2008	2007
	£m	£m
Interest at a rate of 3 month LIBOR + 0.55% (2007: 3 month LIBOR + 0.2%)	305.0	165.0

Amounts repayable after one year include loans at the following interest rates:

	2008	2007
	£m	£m
Interest at a rate of 3 month LIBOR + 0.0625% (2007: 3 month LIBOR + 0.0625%)	300.0	300.0

Both the loans shown above are long term in nature with repayment dates ranging from 2014 to 2033. The loan of £305m has terms which enables it to be repaid within one year and is therefore classified as short term under FRS 25. However, the most appropriate financing structure for the Company is continually being re-evaluated and loans may be repaid prior to their maturity date and/or replaced by alternative financing.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

16 PROVISIONS FOR LIABILITIES AND CHARGES

	Deferred Taxation £m	Other £m	Total £m
Balance at 1 January 2008	76.2	3.4	79.6
Credit to the profit and loss account	(16.4)	(3.4)	(19.8)
Utilised during the year	0.0	0.0	0.0
BALANCE AT 31 DECEMBER 2008	59.8	0.0	59.8

	2008 £m	2007 £m
PROVISION FOR DEFERRED TAX		
Capital allowances in excess of depreciation	60.2	76.9
Other timing differences	(0.4)	(0.7)
DEFERRED TAXATION EXCLUDING THAT RELATED TO THE PENSION LIABILITY	59.8	76.2
Deferred taxation related to the pension liability (note 20)	(151.6)	(137.1)
TOTAL ASSET FOR DEFERRED TAXATION	(91.8)	(60.9)
Deferred tax balance at 1 January 2008	(60.9)	
Deferred taxation charge in the profit and loss account (note 8)	49.6	
Deferred taxation credit in the statement of total recognised gains and losses	(80.5)	
DEFERRED TAXATION ASSET AT 31 DECEMBER 2008	(91.8)	

Other provisions in 2007 related primarily to a provision for the expected cost of closure and remediation of sites closed prior to 31 December 2007. No such provision is deemed necessary for 2008.

The provision for deferred tax is discounted as permitted by FRS 19. Discount rates used are the post-tax yields to maturity on government bonds with maturity dates similar to those of the deferred tax assets/liabilities. The average discount rate used is 2.36% (2007: 3.26%).

The deferred tax provision before discounting is £87.5m (2007: £90.5m). No provision has been made for deferred tax on gains recognised in revaluing property to its market value.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

17 CALLED UP SHARE CAPITAL

	2008	2007
	£m	£m
Authorised:		
229,000,000 ordinary shares of £1 each	229.0	229.0
500,000,000 redeemable ordinary shares of £1 each	500.0	500.0
TOTAL	<u>729.0</u>	<u>729.0</u>
 Allotted and fully paid:		
228,385,200 ordinary shares of £1 each	228.4	228.4
345,000,000 redeemable ordinary shares of £1 each	345.0	345.0
TOTAL	<u>573.4</u>	<u>573.4</u>

The redeemable shares rank pari passu with the ordinary shares of the Company including (but not limited to) the priority and amounts receivable on a winding up, the payment of dividends and voting rights. There has been no other change or modification to the rights attached to the shares in the year.

18 RESERVES

	2008	2007
	£m	£m
REVALUATION RESERVE		
Balance at 1 January	463.0	355.2
Revaluation during the year	0.0	124.5
Realisation of property revaluation gains of prior years	(11.5)	(16.7)
BALANCE AT 31 DECEMBER	<u>451.5</u>	<u>463.0</u>
 CAPITAL RESERVE		
Balance at 1 January	3.3	3.3
BALANCE AT 31 DECEMBER	<u>3.3</u>	<u>3.3</u>
 PROFIT AND LOSS RESERVE		
Balance at 1 January	363.5	(34.4)
Profit for the financial year	92.6	307.7
Actuarial (loss) / gain on pension plan (note 20)	(283.3)	105.0
Movement on deferred taxation related to pension plan	80.5	(31.5)
Realisation of property revaluation gains in previous years	11.5	16.7
BALANCE AT 31 DECEMBER	<u>264.8</u>	<u>363.5</u>

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

19 RECONCILIATION OF MOVEMENT IN TOTAL SHAREHOLDER'S FUNDS

	2008 £m	2007 £m
Profit for the financial year	92.6	307.7
Actuarial (loss) / gain on pension plan (note 20)	(283.3)	105.0
Revaluation during the year (note 10)	0.0	124.5
Movement on deferred taxation related to pension plan (note 16)	80.5	(31.5)
Net addition to / (deduction) from shareholder's funds	<u>(110.2)</u>	<u>505.7</u>
Opening shareholder's funds as previously reported	1,403.2	897.5
CLOSING SHAREHOLDER'S FUNDS	<u>1,293.0</u>	<u>1,403.2</u>

20 PENSIONS

The Company is the major member of a funded defined benefit pension scheme in the UK. The Actuaries are independent of the Company and their latest full actuarial valuation was carried out in 2008 on scheme assets and liabilities as at 31 December 2007. This has been updated to 31 December 2008 using the assumptions described below.

Financial assumptions:	2008	2007	2006
Rate of increase in salaries	4.20%	4.80%	4.50%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (pre April 97)	1.90%	2.30%	2.10%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (post April 97 to post March 06)	2.70%	3.30%	3.00%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (post April 06)	2.50%	2.50%	2.50%
Discount rate	6.70%	5.80%	5.10%
Inflation assumption	2.70%	3.30%	3.00%

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

20 PENSIONS (continued)

The mortality assumptions used were as follows:

	2008	2007
Longevity at age 60 for current pensioners:		
Male	26.5	24.9
Female	29.0	28.2
Longevity at age 60 for future pensioners:		
Male	27.5	26.1
Female	30.0	29.7

The assets in the scheme and the expected rate of return were:

	Expected long term rate of return at 31/12/08	Value at 31/12/08	Expected long term rate of return at 31/12/07	Value at 31/12/07	Expected long term rate of return at 31/12/06	Value at 31/12/06
		£m		£m		£m
Equities	8.40%	1,475.6	8.60%	1,872.7	8.50%	1,557.8
Property	6.70%	152.8	7.60%	195.6	7.50%	117.2
Bonds	5.00%	528.7	5.30%	690.3	4.90%	537.1
Cash & Other	0.00%	1.2	0.00%	(1.6)	0.00%	(5.5)
TOTAL		2,158.3		2,757.0		2,206.6

The equity investments and bonds held in scheme assets are quoted and valued at the current bid price following the adoption of the amendment to FRS17. Previously these were valued at mid price. There has been no change to the value of assets at 31 December 2007 and 2006 as the differences between current bid price and mid price are immaterial.

Balance sheet liability as at 31 December:

	2008	2007
	£m	£m
Total market value of scheme assets	2,158.3	2,757.0
Actuarial liabilities	(2,467.9)	(2,831.3)
Deficit	(309.6)	(74.3)
Related deferred tax asset	151.6	137.1
Net pension asset / (liability)	(158.0)	62.8

Reconciliation of present value of scheme liabilities:

	2008	2007
	£m	£m
1 January	2,831.3	2,892.1
Current service cost	42.4	46.7
Past service cost	0.0	1.4
Interest cost	160.4	144.2
Scheme participants' contributions	7.8	9.9
Benefits paid	(128.0)	(123.1)
Actuarial loss	(446.0)	(139.9)
31 December	2,467.9	2,831.3

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

20 PENSIONS (continued)

Sensitivity analysis of scheme liabilities:

The sensitivity of the present value of scheme liabilities to changes in the principle assumptions used is set out below:

	Change in assumption Increase / (decrease)	Impact on scheme liabilities Increase / (decrease)
Discount rate	0.25%	(3.7%)
Rate of inflation	0.25%	3.3%
Rate of increase in salaries	0.25%	0.6%
Rate of increase in pension in payments	0.25%	2.4%
Mortality	1 year	2.5%

Reconciliation of fair value of scheme assets	2008 £m	2007 £m
1 January	2,757.0	2,206.6
Expected return on scheme assets	208.9	163.7
Actuarial losses on assets	(729.1)	(35.8)
Scheme participants' contributions	7.8	9.9
Benefits paid	(128.0)	(123.1)
Contributions by employer	41.7	535.7
31 December	<u>2,158.3</u>	<u>2,757.0</u>

Scheme assets do not include any of Esso Petroleum Company, Limited's own financial instruments, or any property occupied by Esso Petroleum Company, Limited.

The expected return on scheme assets is determined by considering the expected returns on the assets underlying the current investment policy. Expected yields on fixed income investments are based on gross redemption yields as at the balance sheet date. Expected returns on equity investments reflect long-term real rates of return experienced in the respective markets.

The actual return on scheme assets in the year was £520.2m negative (2007: £127.9m).

Components of pension cost for the year ended 31 December

	2008 £m	2007 £m
Current service cost	(42.4)	(46.7)
Past service cost	0.0	(1.4)
Total operating charge	<u>(42.4)</u>	<u>(48.1)</u>
Expected return on assets	208.9	163.7
Interest cost	<u>(160.4)</u>	<u>(144.2)</u>
Net amount charged to financing provision	<u>48.5</u>	<u>19.5</u>

Of the total operating charge, £24.3m (2007: £28.2m) is included within cost of sales, £8.1m (2007: £8.4m) is included in distribution costs and £10.0m (2007: £11.5m) is included within administrative expenses.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

20 PENSIONS (continued)

Analysis of the amounts recognised in the Statement of Total Recognised Gains and Losses ("STRGL"):

	2008 £m	2007 £m
Actual return lower than expected return on scheme assets	(729.1)	(35.8)
Experience gain / (loss) arising on pension scheme liabilities	22.4	(26.3)
Change in assumptions underlying the present value of the scheme liabilities	423.4	167.1
Net actuarial gain / (loss) recognised in statement of total recognised gains and losses	<u>(283.3)</u>	<u>105.0</u>

The cumulative amount of actuarial losses recognised in the statement of recognised gains and losses is £1,194.9m.

History of experience gains and (losses) for the year ended 31 December:

Difference between expected and actual return on scheme assets:

	2008	2007	2006	2005	2004
Amount - £m	(729.1)	(35.8)	79.2	195.3	54.9
Percentage of scheme assets	33.8%	1.3%	3.6%	9.6%	3.6%
Experience gains and (losses) on plan liabilities:					
Amount - £m	22.4	(26.3)	(140.2)	12.8	(74.0)
Percentage of the present value of scheme liabilities	0.9%	0.9%	4.8%	(0.5%)	3.1%
Total amount to be recognised in STRGL					
Amount - £m	(283.3)	105.0	(36.0)	(65.1)	(96.7)
Percentage of the present value of scheme liabilities	11.5%	3.7%	1.2%	2.4%	4.0%

Esso Petroleum Company, Limited has elected not to restate amounts for 2005 and 2004, as permitted by the amendment in FRS17.

The actuarial valuation at 31 December 2008 showed an increase in the deficit before tax from £74.3m to £309.6m. This is primarily due to losses on assets during the period. Normal employer contributions were set at 25.3% of pensionable salaries with effect from 1 January 2008, following the 31 December 2007 actuarial valuation. This contribution level is subject to future actuarial review. The total contributions expected to be made by Esso Petroleum Company, Limited in the year 2009 is therefore £81.6m.

Merchant Navy Officers Pension Fund

The Company is a participating employer in the Merchant Navy Officers Pension Fund. Company contributions to this fund amounted to £2.9m (2007: £2.9m) during the year including a deficit contribution of £2.0m (2007: £2.0m).

The last FRS 17 valuation report for this fund was carried out by a qualified independent actuary as at 31 March 2006.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

20 PENSIONS (continued)

The schedules provided by the fund's trustees to the Company details only the amount for which it is seeking contribution, so the Company is unable to identify its share of the underlying assets and liabilities of the plan on a consistent and reliable basis and in accordance with paragraph 9 of FRS 17 is therefore treating the plan as a defined contribution plan.

The latest actuarial valuation as at 31 March 2006 showed an aggregate fund deficit of £151m (2003: £234m). Contributions are expected to be requested from all the members until 2014.

Merchant Navy Officers Ratings Fund

The Company is also a participating employer in the Merchant Navy Ratings Pension Fund. Company contributions amounted to £1.2m (2007: £1.2m) during the year consisting entirely of a deficit contribution.

The last FRS 17 valuation report for this fund was carried out by a qualified independent actuary as at 31 March 2008.

The schedules provided by the fund's trustees to the Company details only the amount for which it is seeking contribution, so the Company is unable to identify its share of the underlying assets and liabilities of the plan on a consistent and reliable basis and in accordance with paragraph 9 of FRS 17 is therefore treating the plan as a defined contribution plan.

The latest actuarial valuation as at 31 March 2008 showed an aggregate fund deficit of £175m (2005: £94m). Contributions are expected to be requested from all the members until 2021.

21 CAPITAL COMMITMENTS

	2008 £m	2007 £m
Commitments under contracts for capital expenditure not provided for in these financial statements amount to:	<u>7.6</u>	<u>10.8</u>

22 COMMITMENTS UNDER OPERATING LEASES

	2008 Land & Buildings £m	2007 Land & Buildings £m
At 31 December the Company had annual commitments under non cancellable operating leases expiring as follows:		
- within one year	0.0	0.0
- during two to five years	1.2	1.2
- after five years	<u>2.4</u>	<u>1.5</u>
TOTAL	<u><u>3.6</u></u>	<u><u>2.7</u></u>

23 CONTINGENT LIABILITIES

The Company has given guarantees in respect of the house sale guarantee scheme for relocating 15 employees (2007: 13). This involves guaranteeing the sale of the property at market value for employees who are relocating. There is no material difference between the guaranteed minimum and the current market value of these properties (2007: £nil).

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2008

20 PENSIONS (continued)

The schedules provided by the fund's trustees to the Company details only the amount for which it is seeking contribution, so the Company is unable to identify its share of the underlying assets and liabilities of the plan on a consistent and reliable basis and in accordance with paragraph 9 of FRS 17 is therefore treating the plan as a defined contribution plan.

The latest actuarial valuation as at 31 March 2006 showed an aggregate fund deficit of £151m (2003: £234m). Contributions are expected to be requested from all the members until 2014.

Merchant Navy Ratings Pension Fund

The Company is also a participating employer in the Merchant Navy Ratings Pension Fund. Company contributions amounted to £1.2m (2007: £1.2m) during the year consisting entirely of a deficit contribution.

The last FRS 17 valuation report for this fund was carried out by a qualified independent actuary as at 31 March 2008.

The schedules provided by the fund's trustees to the Company details only the amount for which it is seeking contribution, so the Company is unable to identify its share of the underlying assets and liabilities of the plan on a consistent and reliable basis and in accordance with paragraph 9 of FRS 17 is therefore treating the plan as a defined contribution plan.

The latest actuarial valuation as at 31 March 2008 showed an aggregate fund deficit of £175m (2005: £94m). Contributions are expected to be requested from all the members until 2021.

21 CAPITAL COMMITMENTS

	2008 £m	2007 £m
Commitments under contracts for capital expenditure not provided for in these financial statements amount to:	<u>7.6</u>	<u>10.8</u>

22 COMMITMENTS UNDER OPERATING LEASES

	2008 Land & Buildings £m	2007 Land & Buildings £m
At 31 December the Company had annual commitments under non cancellable operating leases expiring as follows:		
- within one year	0.0	0.0
- during two to five years	1.2	1.2
- after five years	<u>2.4</u>	<u>1.5</u>
TOTAL	<u><u>3.6</u></u>	<u><u>2.7</u></u>

23 CONTINGENT LIABILITIES

The Company has given guarantees in respect of the house sale guarantee scheme for relocating 15 employees (2007: 13). This involves guaranteeing the sale of the property at market value for employees who are relocating. There is no material difference between the guaranteed minimum and the current market value of these properties (2007: £nil).

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24 RELATED PARTY BALANCES

The Company is a 100% subsidiary within the Exxon Mobil Corporation Group and, therefore, utilises the exemption contained in paragraph 3(c) of FRS 8 'Related party disclosures' not to disclose any transactions with any entities that are part of that group. The address at which the Exxon Mobil Corporation consolidated financial statements are publicly available is detailed in note 25.

At 31 December 2008 the advance rental payment made to landlords on behalf of directors was: K L Hobbs £56,253 (2007: £39,526). The advance rental payments are part of the employee relocation scheme.

25 ULTIMATE HOLDING COMPANY

The immediate holding company is ExxonMobil UK Limited. The ultimate holding company and controlling party is Exxon Mobil Corporation, incorporated in New Jersey, USA. Exxon Mobil Corporation is listed on the New York Stock Exchange and its shares are widely dispersed. The smallest group of which the Company is a member and for which group accounts are prepared is Esso UK Limited. Accounts can be obtained from the Public Affairs Department, ExxonMobil House, Ermyn Way, Leatherhead, Surrey KT22 8UX. The largest group of which the Company is a member and for which group accounts are prepared is Exxon Mobil Corporation. Accounts can be obtained from Exxon Mobil Corporation, Shareholder Relations, Post Office Box 140369, Irving, Texas 75014 - 0369, USA.
